

Goodricke Group Ltd

Concall-Tracker report · Screener code 500166 (BSE) · subsidiary of Camellia PLC (UK) · no concall transcripts — global web deep-dive · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Goodricke grows and sells **tea**. It owns and operates tea estates in Assam, the Dooars and Darjeeling, plucking leaf, processing it into made tea, and selling it at auction and to packeteers. It is majority-owned by **Camellia PLC** of the UK, the world's second-largest private-sector tea producer. In plain terms: an agricultural business whose profits depend on how much leaf the weather allows and what price tea fetches — neither of which management controls.

Figure	Value	Plain-English read
Market capitalisation	₹525 cr (price ₹243)	What the whole company is worth — a micro-cap. The share has ranged ₹142–250 over the past year and sits near the top.
Price-to-earnings / book	10.8x ; book value ₹141/share	About 11 times last year's profit but 1.7 times book. Dividend yield 0.82%.
Q1 FY27 revenue (Jun'26 qtr)	₹211.3 cr, up 21.1% YoY	Against ₹174.5 cr a year earlier. Driven, the company said, by a 41% rise in own crop production (excluding estates already sold), better realisations and cost control.
Q1 FY27 net profit	₹40.87 cr (vs ₹3.19 cr)	Up nearly thirteen-fold year-on-year, and a sharp reversal from a ₹29.21 cr loss in the immediately preceding quarter. Operating margin 18%, the best in three years.
Read the seasonality first	Q4 is always a loss	Tea is plucked from spring to autumn. The Jan–Mar quarter has costs but almost no crop, so it loses money every year (–₹76 cr, –₹37 cr, –₹29 cr in the last three). No single quarter should be annualised.
FY26 (full year)	₹801 cr revenue, ₹26 cr profit	Operating margin just 2.4%. Profit improved on FY25's ₹20 cr, but revenue <i>fell</i> from ₹929 cr.
Seven-year revenue path	₹791 → 892 → 823 → 882 → 824 → 929 → 801 cr	The defining line. FY20 through FY26 — revenue today is <i>below</i> where it was in FY21. Six years with no growth at all, oscillating with weather and tea prices.
Profit history	₹16, 20, 5, –0, –69, 20, 26 cr	FY20 to FY26. Including a ₹69 cr loss in FY24 . This is a business that can and does lose money.
Return on capital	ROCE 5.11%; ROE 6.31%	For every ₹100 of capital the business earns about ₹5 a year before tax — less than a bank deposit, for far more risk. The single most damning figure here.
Audit qualification	Qualified conclusion on inventory valuation	The statutory auditors issued a qualified conclusion on the Q1 FY27 results relating to how inventory is valued. For a business whose profit swings on unsold tea stock, this is material.

2. Concall coverage

No concall transcripts were available on Screener for this company — this report is based on a global web deep-dive. In this case the gap is total: Screener lists **no investor-call entries at all**. On the available record

Goodricke does not hold earnings calls, so there is no management commentary of any kind to read, quote or grade. Everything below comes from filings, results announcements and published coverage.

Sources used: Q1 FY27 results (board approval 11 August 2026) and published coverage, including the auditors' qualified conclusion; FY26 results and dividend announcement; exchange announcements on the Chalouni, Leesh River and Barnesbeg tea estate transactions; Camellia PLC disclosures on the Chalouni sale; and Screener.in financial statements.

2b. Latest update highlights — Q1 FY27 (results 11 Aug 2026) ★

- **A genuinely strong quarter:** revenue **₹211.3 cr, up 21.1%**, and net profit **₹40.87 cr** against just ₹3.19 cr a year earlier — and against a ₹29.21 cr loss in the preceding quarter. Operating margin reached 18%, the best in three years.
- **What drove it, in the company's own framing:** a **41% rise in own crop production** excluding estates that have been sold, together with improved realisations and cost-control measures. Note the phrasing — the crop comparison is made *after* stripping out disposed estates, which flatters the growth relative to the whole business.
- **The strategy is to shrink, deliberately.** Under what the company calls a **Value Enhancement Plan** — intended to improve operating results and reduce risk — it has been selling estates: **Chalouni** was sold for about **₹19 cr** (agreement signed 21 May 2026), and a non-binding memorandum was signed to sell **Leesh River** for **₹26.5 cr**, an estate that contributed 3.43% of FY24 revenue.
- **One planned sale collapsed:** on 31 March 2026 the company terminated the memorandum for the sale of **Barnesbeg** after being unable to align on key matters during due diligence — a reminder that estate disposals are not certain to complete.
- **The material caveat:** the statutory auditors issued a **qualified conclusion on inventory valuation** for the quarter. In a tea company, unsold made-tea stock is a significant balance-sheet item and its valuation feeds directly into reported profit — so a qualification here bears on the very number that looks so improved.

2c. Business mix & capacity (quick facts)

Domestic vs export: predominantly **domestic** — Indian-grown tea sold largely through the auction system and to packeteers within India, with some export. No split is disclosed and none is invented here.

Estate portfolio — and it is shrinking: tea gardens across **Assam, the Dooars and Darjeeling**. Under the Value Enhancement Plan the portfolio is being pruned: Chalouni sold (~₹19 cr), Leesh River under a non-binding memorandum (₹26.5 cr, 3.43% of FY24 revenue), Barnesbeg terminated. Plain read: management's response to poor returns has been to sell underperforming gardens rather than to grow — a rational strategy, but one that reduces the revenue base, which is part of why FY26 sales fell to ₹801 cr from ₹929 cr.

"Capacity" utilisation: for a plantation the equivalent metric is crop yield per hectare, and no such figure is published. What the company did disclose is that **own crop production rose 41%** in Q1 FY27 excluding sold estates — a large improvement, though against a weak comparative and measured on a shrinking asset base. The binding constraints are rainfall and temperature, plus a largely fixed cost base of plantation labour that must be paid whether or not the leaf comes — which is exactly why the January-to-March quarter loses money every year.

3. Earning Trigger thesis ★

The only identifiable driver is **self-help: prune the estate portfolio, lift yields on what remains, and cut costs** — the "Value Enhancement Plan". There is early evidence it is working. Own crop production rose 41% in Q1 FY27 excluding sold estates, realisations improved, and the quarter produced ₹40.87 cr of profit against ₹3.19 cr a year earlier, at the best operating margin in three years. Profit has recovered from a ₹69 cr loss in FY24 to

₹20 cr and then ₹26 cr. That is a real trajectory. But it must be set against what surrounds it. **Revenue in FY26 (₹801 cr) was below FY21's (₹892 cr)** — six years without growth. Return on capital is **5.11%**, less than a fixed deposit. Operating margin has exceeded 5% only once in seven years. The strategy is explicitly to get smaller, not bigger, and one of the three announced estate sales has already collapsed. Underneath everything, the two variables that actually determine profit — the monsoon and the tea auction price — are entirely outside management's control, which is why a single quarter cannot settle the question. And the auditors have issued a qualified conclusion on inventory valuation, which bears directly on the improved profit figure.

Candidate trigger	What the record shows	Evidence so far	Horizon	Strength
Value Enhancement Plan (estate disposals)	Sell underperforming gardens to improve operating results and reduce risk	Chalouni sold (~₹19 cr); Leesh River under non-binding memorandum (₹26.5 cr); Barnesbeg terminated after due diligence	Ongoing	Moderate
Crop yield improvement	Own crop production +41% (excluding sold estates)	A large gain — but against a weak base, on a shrinking asset base, and only one quarter	Now	Moderate
Cost control	Cited as a driver of the Q1 FY27 recovery	Margin at 18% in the quarter versus 2.4% for FY26. Real, but plantation costs are largely fixed and seasonal	Ongoing	Moderate
Profit recovery trajectory	—	–₹69 cr (FY24) → ₹20 cr (FY25) → ₹26 cr (FY26) → ₹41 cr in one quarter of FY27	Live	Moderate
Revenue growth	—	None. FY26 revenue of ₹801 cr is below FY21's ₹892 cr. Six years flat-to-down, and the disposal strategy shrinks it further	—	Absent
Return on capital	—	ROCE 5.11%, ROE 6.31% — below the cost of capital, and below what a deposit pays	Structural	Poor
Tea prices and weather	"Improved realisations" cited	The actual determinants of profit, and entirely outside management's control. The FY24 loss and the recovery since are both largely explained by them	Every year	Outside control
Audit qualification (risk)	Qualified conclusion on inventory valuation, Q1 FY27	Bears directly on reported profit, since made-tea stock valuation flows into earnings. No management explanation is publicly available	Now	Key concern

4. Management Consistency scorecard

Read this as **almost entirely ungradeable**. Screener lists no investor calls at all for this company, so there is no management commentary, guidance or forward statement of any kind on the record to compare against outcomes.

Period	What was signalled	What actually happened	Verdict
FY24	—	A ₹69 cr loss on revenue of ₹824 cr — operating margin of –6%	Poor year
FY25–FY26	Value Enhancement Plan to improve operating results and reduce risk	Profit recovered to ₹20 cr then ₹26 cr; a dividend was reinstated in FY26. Genuine progress	Delivered
FY26	Dispose of underperforming estates	Chalouni sold for ~₹19 cr, agreement signed 21 May 2026 — executed as announced	Delivered
Mar 2026	Sale of Barnesbeg Tea Estate	Terminated on 31 March 2026, the parties unable to align during due diligence — disclosed promptly, with no financial impact stated	Failed (disclosed)
FY26–FY27	Sale of Leesh River Tea Estate (₹26.5 cr)	Non-binding memorandum signed; completion not yet confirmed	Pending
Q1 FY27	—	Strong result — but accompanied by a qualified auditor conclusion on inventory valuation , with no public management explanation	Unexplained
FY20 → FY26	—	Revenue ₹791 cr → ₹801 cr — effectively unchanged over seven years, with ROCE at 5.11%	No progress
Throughout	—	No earnings calls held at all. Shareholders have no forum to ask about the audit qualification, the disposal programme or the return on capital	Total disclosure gap

Narrative drift: There can be no drift where there is no narrative. Goodricke does not hold earnings calls, publishes no guidance, and offers no management commentary that an outsider can hold it to — the most complete disclosure vacuum in this coverage. What can be graded is the record of announced corporate actions, and there the picture is mixed but not dishonest: the Value Enhancement Plan was stated and is being executed, Chalouni was sold as announced, the Barnesbeg termination was disclosed promptly when due diligence failed, and Leesh River remains pending. Profit has genuinely recovered from a ₹69 cr loss in FY24 to ₹26 cr in FY26, and a dividend was reinstated. Against that stand two things that would, at any company holding a call, be the first questions asked. First, seven years have produced no revenue growth and a 5.11% return on capital — a performance that would ordinarily require explanation. Second, and more immediately, the auditors have issued a **qualified conclusion on inventory valuation** for the very quarter in which profit jumped thirteen-fold. In a tea business, the value placed on unsold stock feeds straight into reported earnings, so a qualification there touches the headline number directly. There is no public statement from management addressing it, and no venue in which anyone can ask.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

Something real is happening, and it deserves acknowledgement: own crop production rose 41% excluding sold estates, realisations improved, costs were controlled, and the June quarter produced ₹40.87 cr of profit against ₹3.19 cr a year earlier at the best operating margin in three years. Profit has climbed from a ₹69 cr loss in FY24 to ₹20 cr, then ₹26 cr, and the Value Enhancement Plan of selling weak estates is being executed. But this falls short of a durable trigger on three counts. First, there is no growth to be triggered: revenue of ₹801 cr in FY26 is *below* the ₹892

cr of FY21, and the strategy is explicitly to shrink the estate base further. Second, the returns do not justify the capital: return on capital of 5.11% and return on equity of 6.31% are below what a bank deposit pays, and operating margin has exceeded 5% only once in seven years. Third, the two variables that actually determine the outcome — the monsoon and the tea auction price — sit entirely outside management's control, which is why one good quarter in a business that loses money every January-to-March cannot settle anything. Weighing against all of it is a qualified auditor conclusion on inventory valuation attached to precisely the quarter that looks transformed. This is a cyclical recovery being executed competently, not an earnings engine.

Management consistent? → MAYBE

This is a Maybe by default rather than by assessment, because there is almost nothing to assess. **Goodricke holds no earnings calls at all** — not infrequent ones, not calls without published transcripts, but none on the record — so there is no guidance, no forward statement and no management commentary against which outcomes can be checked. That is the most complete disclosure gap in this coverage. What can be verified is the record of announced corporate actions, and it is respectable: the Value Enhancement Plan was stated and is being carried out, Chalouni was sold broadly as announced, the failed Barnesbeg sale was disclosed promptly and honestly when due diligence broke down rather than being left to lapse quietly, Leesh River is pending, and profit has recovered from a heavy FY24 loss with a dividend reinstated. Nothing suggests bad faith. But two facts prevent this rising higher. Seven years have delivered no revenue growth and a 5.11% return on capital, with no public explanation of why shareholders should accept that or what will change it. And the auditors have qualified their conclusion on inventory valuation for the quarter in which profit rose thirteen-fold — a matter that goes to the reliability of the headline number, on which management has said nothing publicly and cannot be asked, because there is nowhere to ask.

Prepared from public sources on 31 Aug 2026. Screener lists **no investor-call entries whatsoever** for this company, so this is a global web deep-dive: Q1 FY27 results (board approval 11 Aug 2026) and coverage including the auditors' qualified conclusion on inventory valuation; FY26 results and dividend; exchange announcements on the Chalouni, Leesh River and Barnesbeg estate transactions; Camellia PLC disclosures; and Screener.in financial statements. No management wording is quoted verbatim because none is publicly available. **This is not investment advice. Do your own due diligence.**